



ASSOCIATION OF NATIONAL ADVERTISERS, INC.

155 EAST 44TH STREET, NEW YORK, NY 10017 • (212) 697-5950

Fax # (212) 661-8057 (202) 659-3711

MEMBER, WORLD FEDERATION OF ADVERTISERS

INVOICE FOR A.N.A. MEMBERSHIP DUES

To: Mr. Martin L. Orlowsky
President & Chief Operating Officer
Lorillard Tobacco Company
714 Green Valley Road
Greensboro, NC 27408

INVOICE DT: 02/19/98

INVOICE NO: 21998-8

Period Covering: 03 / 01 / 98 through 02 / 28 / 99

BASIS FOR DETERMINING DUES

A.N.A. dues are based on the combined total of all U.S. Advertising Expenditures by the Member Company including the parent company and all eligible subsidiaries and divisions -- for the most recent calendar year preceding the A.N.A. membership anniversary date of the Member Company.

The term U.S. Advertising Expenditures includes: all U.S. expenditures for advertising in any and all media whether national, regional, or local; all U.S. advertising production costs (personnel including talent, services and material); all U.S. advertising commissions and fees; and the Member's share of all expenditures within the U.S. for cooperative advertising programs. It includes such monies expended directly by the Member, as well as those by other firms or entities by arrangement with the Member that promote the Member's name, products, services, brands, or other subjects of trade (e.g. expenditures by franchisees, licensees, distributors, dealers, or other agencies).

The term Media includes: newspapers; periodicals; yellow pages; radio; television or other electronic systems; class and technical journals; business, farm and religious papers; car cards; posters and out-of-home advertising.

Billing for Members' dues shall be based on the best published data available to A.N.A. for such expenses. If a Member's actual expenses are substantially lower than those reflected in the A.N.A. invoice, the Member shall have the option to supply the Association with an amount for its total expenses certified by its Chief Financial Officer, and to remit its dues based upon such certified amount.

Dues are based on estimated advertising expenditures of \$ 30,000,000 for the most recent calendar year.

² Affiliate Memberships @ \$500 each: \$1,000.00

AMOUNT DUE: \$ 16,750.00

Please make check payable to the Association of National Advertisers, Inc. and mail to the above address.

*In accordance with the A.N.A. By-Laws, dues are payable in advance for the ensuing year-on the anniversary date of the company's election to membership.

The Internal Revenue requires notice on invoices for Trade Association Dues: "Payments to the Association of National Advertisers, Inc. are not deductible as charitable contributions for Federal income tax purposes. However, this does not affect their deductibility under other IRS code provisions."

83645348